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Financial Democracy: The Jan Dhan Transformation

Financial democracy, the Jan Dhan transformation

Does ideology matter in governance? Yes, it does. A case in point is the Jan Dhan Yojana, which marks 12 years this Independence Day and has served the cause of Antyodaya, a concept propounded by both Mahatma Gandhi and Deendayal Upadhyaya. Simply put, it means that the most deprived should be considered the most deserving when it comes to the distribution of the fruits of development.

Independence Day is usually understood in political terms. India became a sovereign republic, established democratic institutions and introduced universal suffrage. But political independence alone does not guarantee economic liberty. For millions of Indians, even decades after 1947, the formal financial system remained distant. A bank account, formal credit, insurance or a reliable channel to receive government support could not be taken for granted. Add to this the menace of pilferage, and the systemic failure is complete. No wonder a former Prime Minister had to admit that when a rupee was sent from Delhi, only 15 paise reached the recipient.

The vision

On August 15, 2014, from the ramparts of the Red Fort, the newly elected Prime Minister, Narendra Modi, made financial inclusion part of his Independence Day address.

Among several major announcements made during the address, he announced the Pradhan Mantri Jan Dhan Yojana (PMJDY). The idea sounded simple: every household in India should have access to a bank account, a RuPay debit card and insurance cover. At Vigyan Bhawan on August 28, during the launch of the PMJDY implementation, Mr. Modi quoted Chanakya: *Sukhasya moolam dharmah* – the root of happiness is dharma; *Dharmasya moolam artha* – the root of dharma is artha; and *Arthasya*



Vinay Sahasrabuddhe

Member, NEC, Bharatiya Janata Party, Vice-Chairman, Rambhau Mhalgi Prabodhini, Mumbai, and former Member of Parliament, Rajya Sabha



Viraj Paranjape

CFSS Fellow, Bengaluru

Twelve years of Jan Dhan have led to financial inclusion and independence

moolam rajyam – the root of *artha* is the state. The argument was that economic means are fundamental to human well-being and, therefore, creating access to those means is also a responsibility of the state.

The bank account was not simply another government benefit; rather, it was an entry point into the formal economy. The PMJDY, therefore, deserves to be viewed through the lens of Independence Day and the Prime Minister's thought leadership. India's first independence was about freeing the country from colonial rule. The second challenge was to build a state in which freedom could actually be exercised by ordinary citizens. If a citizen cannot access formal finance, receive money directly, save securely or establish a connection with the institutions through which economic opportunity flows, political freedom remains incomplete in a very practical sense.

The PMJDY attempted to address one part of that gap.

The numbers tell a story

The architecture also reflected the idea of *Antyodaya*: the last person in the queue should not remain outside the system. A zero-balance account meant that having little money was no longer, in principle, a reason to remain outside the banking system. A RuPay card and an overdraft facility were intended to make the account something that could actually be used.

Financial inclusion is not merely about opening accounts; it is about becoming part of a system of savings, payments, credit, insurance and economic opportunity. Twelve years later, the scale of that first step is difficult to ignore. By July 2026, the PMJDY had crossed 58 crore accounts, with deposits running into ₹3 lakh crore. More than half of the accounts are held by women, while roughly three-fourths are in rural and semi-urban areas.

But Jan Dhan's real significance lies beyond the account numbers. It became the first layer of the larger JAM trinity architecture: Jan Dhan, Aadhaar and Mobile. Once citizens had bank accounts connected to digital identity and mobile infrastructure, the government had a much more direct channel through which benefits could reach them. This transformed the possibilities of Direct Benefit Transfer. The same infrastructure eventually became part of India's broader digital public infrastructure, alongside systems such as UPI. A bank account opened under Jan Dhan became part of an increasingly digital financial ecosystem. A woman who entered the formal banking system through a Jan Dhan account in 2014 and a merchant accepting a UPI payment in France or the other countries it can be used in, in 2026, may appear to belong to two different stories. In reality, they are connected by the same financial infrastructure built over the past decade.

An account, an identity

More importantly, a bank account also became a solid symbol of identity – something that faceless people from marginalised sections could rarely have. It served as a form of “recognition with respect” offered by the system. Financial democracy through Jan Dhan made those on the periphery visible, counted and, importantly, proudly identified.

Sixty-seven years after Independence, in 2014, the Prime Minister used the country's most symbolic political stage to speak about financial, digital literacy and inclusivity. Jan Dhan followed by UPI has now become a story of our everyday lives.

The “*Mera khaata, bhagya vidhata* (My account, the destiny maker)”) tagline for Jan Dhan remains true as it shapes the destiny of Viksit Bharat 2047 by financial inclusivity and opportunities ahead.

Financial Democracy: The Jan Dhan Transformation

Financial Inclusion : Delivery of financial services at affordable cost at doorsteps

Benefits under PMJDY

- a. One basic savings bank account is opened for unbanked person.
- b. There is no requirement to maintain any minimum balance in PMJDY accounts.
- c. Interest is earned on the deposit in PMJDY accounts.
- d. Rupay Debit card is provided to PMJDY account holder.
- e. Accident Insurance Cover of Rs.1 lakh (enhanced to Rs. 2 lakh to new PMJDY accounts opened after 28.8.2018) is available with RuPay card issued to the PMJDY account holders.
- f. An overdraft (OD) facility up to Rs. 10,000 to eligible account holders is available.
- g. PMJDY accounts are eligible for Direct Benefit Transfer (DBT), Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY), Pradhan Mantri Suraksha Bima Yojana (PMSBY), Atal Pension Yojana (APY), Micro Units Development & Refinance Agency Bank (MUDRA) scheme.

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58 crore+

PMJDY bank accounts opened as of July 2026

₹3 lakh crore

Total deposits held across PMJDY accounts

50%+

Share of PMJDY accounts held by women

~75%

Share of accounts in rural and semi-urban areas

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Q. 'Pradhan Mantri Jan-Dhan Yojana' has been launched for (2015)

- (a)** providing housing loan to poor people at cheaper interest rates
- (b)** promoting women's Self-Help Groups in backward areas
- (c)** promoting financial inclusion in the country
- (d)** providing financial help to the marginalised communities

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Centre Notifies 40 Questions for Second Phase of Census 2027

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Census 2027, the first since 1931 to enumerate caste, will collect parents' details, bank account, Aadhaar, passport, and voter ID information; Phase 2 of the exercise to begin on Monday in Ladakh, parts of J&K, Uttarakhand, and Himachal Pradesh

Vijaita Singh
NEW DELHI

The Union government on Friday notified 40 questions, which include one asking respondents to record their "caste", for the population enumeration exercise as part of the second phase of Census 2027. This is the first time that caste will be enumerated in Independent India, other than that of the Scheduled Tribes (STs) and Scheduled Castes (SCs).

The Census 2027 schedule will have 13 new questions or data fields that were not part of the Census 2011 questionnaire, which had 29 questions.

The questions that have been added for the first time are – spouse's name, nationality, father's particulars and mother's particulars, digital literacy, permanent residential address, place of COVID-19 vaccination, number of bank accounts, passport number, driving licence availability and mobile phone number, and Aadhaar and voter ID numbers, if available.



Door-to-door: Trained field staff collect household data during the Census enumeration drive. N. RAJESH

Question number 10 on the Census schedule reads "Scheduled Caste (SC)/ Scheduled Tribe (ST)/ Caste." Officials said that the enumerator will record the caste as declared by the respondent as it is an open column. As reported by *The Hindu* on July 6, the rehearsal, or the "pre-test" for the population enumeration phase, was conducted from July 1 to 20 in 16 States and Union Territories, where respondents, other than those in the reserved categories, recorded their castes in an "open column", or the enumerator

noted a resident's caste as declared by them.

Responding to *The Hindu's* report, Congress general secretary Jairam Ramesh said on X: "It had been widely expected that the caste Q will be asked with a pre-prepared State-wise list as had been done in the Bihar and Telangana caste surveys with the response being just ticked appropriately. This has, unfortunately, not happened raising serious doubts on intent."

The open column methodology had resulted in the 2011 Socio Economic

Caste Census (SECC) returning over 46 lakh different "caste names", largely owing to the difference in what people understand by caste. The BJP-led government has maintained over the last decade that the 2011 SECC caste data were unreliable because of "errors" in data collection. The total number of castes during the 1931 Census was 4,147. The SECC was conducted as a survey and out of the purview of the Census Act, 1948 and had no statutory backing. The SECC data were never released by the government.

Mritunjay Kumar Narayan, the Registrar-General and Census Commissioner of India (RG&CCI), notified the questions that census officials will be authorised to ask during Census 2027, expanding the scope of data collection to include details such as Aadhaar, mobile number, voter IDs, bank accounts and COVID-19 vaccination information, wherever available.

The notification, issued by the Ministry of Home Affairs under the Census

Act, authorises census officers to collect information through the household schedule from every person residing in their assigned areas.

The second phase of Census begins in Ladakh and snow-bound areas of Jammu and Kashmir, Uttarakhand and Himachal Pradesh on Monday, much before the rest of the country, where the exercise will take place in February 2027. An option for self-enumeration will be available from August 17-31, before the start of house-to-house population enumeration, the notification said. It added that the reference date for population count for these areas would be 12 a.m., October 1. The reference date for the rest of the country is 12 a.m., March 1, 2027.

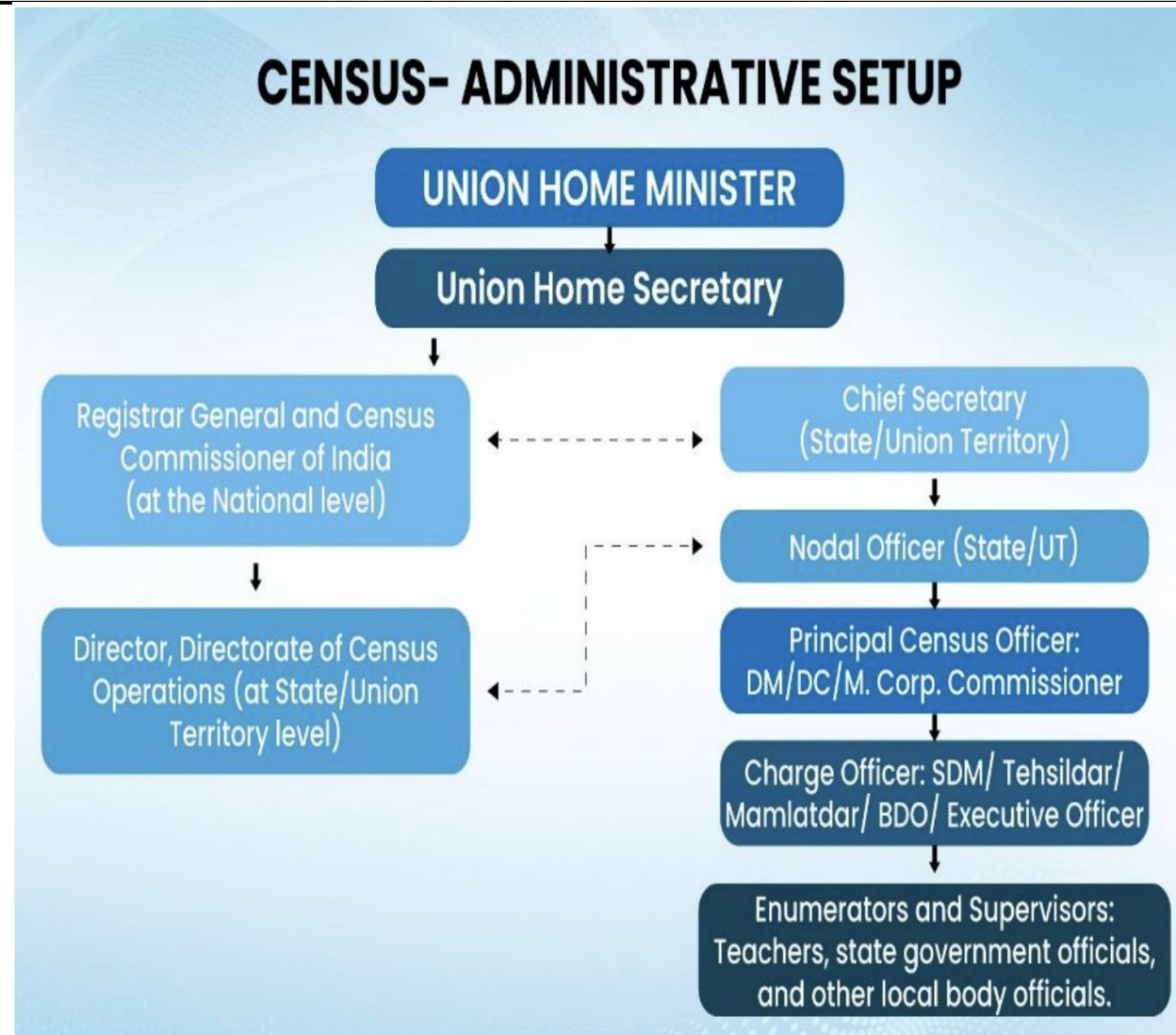
The Census exercise is done in two phases – the **Housing and House Listing Operations and Population Enumeration**. The HLO phase, due to end on September 30, has been completed in most States except West Bengal, Assam and Manipur.

Centre Notifies 40 Questions for Second Phase of Census 2027

● Census

- **The earliest references to conducting census in the country can be found in Kautilya's Arthashastra (321-296 BC) and later in the writings of Abul Fazl in 'Ain-e-Akbari' during the days of Emperor Akbar.**
- **The first modern population census in India was conducted between 1865 and 1872, though it didn't happen simultaneously across all regions. India conducted its first synchronous census in 1881.**
- **Since then, the Indian census has been providing reliable, timetested data on various aspects of the population through extensive exercises held every 10 years.**
- **Census 2027 will be the 16th in the series of Indian census and 8th since independence.**
- **Census is governed by the Census Act, 1948, and the Census Rules, 1990, ensuring a strong legal and institutional framework.**
- **The Census is a Union subject under the Seventh Schedule (listed at serial number 69) of the Constitution.**

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- The framework also guarantees strict confidentiality of individual data, reinforcing public trust and participation. The Census Act contains a significant provision - Section 15, under which personal information provided by people is treated as strictly confidential. It cannot be made public under the RTI Act, used as evidence in any court of law, or shared with any institution.
- Phase I: Houselisting and Housing Census (HLO) is scheduled between April and September 2026.
 - This phase will gather detailed information on housing conditions, availability of amenities, and assets possessed by households, while also creating the essential frame for the subsequent phase.
- Phase II: Population Enumeration (PE) is scheduled for February 2027
 - Will focus on capturing detailed demographic, socio-economic, cultural, migration, and fertility-related information of individuals across households.
 - Enumeration of Castes will also be done during the second phase of Census. Until the 2011 Census, the exercise included the systematic enumeration of only Scheduled Castes (SCs) and Scheduled

Census Moment helps the enumerators to decide which persons are to be included in the census.

Centre Notifies 40 Questions for Second Phase of Census 2027

Houselisting and Housing Census Questions

	S No.	Question
Condition of the House	1	Line Number
	2	Building number
	3	Census house number
	4	Predominant material of Floor of the Census house
	5	Predominant material of Wall of the Census house
	6	Predominant material of Roof of the Census house
	7	Ascertain use of Census house
	8	Condition of the Census House

	S No.	Question
Household Information	9	Household number
	10	Total number of persons normally residing in the household
	11	Name of the head of the household
	12	Sex of the head of the household
	13	Whether the head of the household belongs to SC/ST/Other
	14	Ownership status of the Census house
	15	Number of dwelling rooms exclusively in possession of the household
	16	Number of married couple(s) living in the household

	S No.	Question
Amenities available to the household	17	Main source of drinking water
	18	Availability of drinking water source
	19	Main source of lighting
	20	Access to Latrine
	21	Type of Latrine
	22	Waste water outlet
	23	Availability of bathing facility
	24	Availability of kitchen and LPG/PNG connection
	25	Main Fuel used for cooking

	S No.	Question
Assets possessed by the household	26	Radio/Transistor
	27	Television
	28	Access to Internet
	29	Laptop/Computer
	30	Telephone/Mobile Phone/ Smartphone
	31	Bicycle and Scooter/ Motorcycle/Moped
	32	Car/Jeep/Van
	33	Main cereal consumed in the household
Others	34	Mobile number (For Census related communications only)

Centre Notifies 40 Questions for Second Phase of Census 2027

Census 2011

- 29 questions in the household schedule.
- No caste enumeration beyond Scheduled Castes (SC) and Scheduled Tribes (ST).
- No fields for Aadhaar, digital literacy, bank accounts, or vaccination status.



Census 2027

- 40 questions : 13 new fields added, including an open 'caste' column for all respondents.
- First caste enumeration in Independent India beyond SC/ST categories.
- New fields: bank accounts, passport, Aadhaar, voter ID, digital literacy, COVID-19 vaccination.

Thank You